

Amãna Bank



Amana Bank PLC (PB 3618 PQ)

Interim Financial Statements

31 December 2023

Vision

To be an admired leader in providing equitable financial solutions, not limited to numerics, but also in earning the trust of our customers, employees, shareholders and country.

Mission

To adopt a unique and people friendly approach in banking with a passion for continuous improvement, enabling growth and enriching lives.



Amāna Bank proves resilience with best ever performance

- ***PBT grows by 92% to LKR 2.3 billion; PAT up by 76% to reach LKR 1.4 Bn***

Amāna Bank concluded a historic 2023 with its strongest-ever financial performance to date, demonstrating the Bank's stability, resilience and growing acceptance amidst a challenging economic environment. The Bank's audited Profit Before Tax (PBT) nearly doubled to LKR 2.3 billion, reflecting a remarkable 92% YoY increase from LKR 1.2 billion in 2022. Profit After Tax (PAT) for 2023 broke through the LKR 1 billion threshold to reach LKR 1.4 billion, showcasing a YoY growth of 76% from LKR 0.8 billion in 2022.

Supported by strong growth in core business, the Bank's financing income increased to LKR 17.2 billion in 2023, up by 42% from LKR 12.1 billion reported in the previous year. Maintaining a healthy financing margin of 4.3%, the Bank went on to record a Net Financing Income of LKR 6.5 billion, a 36% YoY increase from LKR 4.8 billion registered in 2022.

Fee-based income also reflected substantial improvement of 24% to LKR 931 million, driven mainly by trade volumes generated from our valued business banking customers as well as increased digital transactions and other value added services. Assisted by higher Net Trading Income and other gains, the Bank's total operating income rose to LKR 9.2 billion, reflecting a remarkable growth of 45% from the LKR 6.4 billion achieved in 2022.

Considering market conditions, the level of the Bank's advance portfolio, and the need to prudentially maintain higher credit buffers, Impairment charges for the year rose to LKR 2.1 billion from LKR 1.6 billion in 2022, an increase of 29%. Despite the incremental impairment charges, Net Operating Income recorded a noteworthy YoY growth of 50% to reach LKR 7.1 billion from the previous year's amount of LKR 4.7 billion.

Sustaining an improved and healthy 42% cost to income ratio despite prevailing inflationary pressure, the Bank closed the year with an Operating Profit before VAT on Financial Services and Social Security Levy of LKR 3.2 billion, denoting a 85% increase from a year back. The Bank's aggregate tax contribution of LKR 1.8 billion accounted for a significant 57% of the Bank's Operating Profit before all taxes.

Despite the overall banking industry experiencing negative credit growth, Amāna Bank transitioned to positive growth by tactically shifting its focus towards top-tier corporates. As a result, the Bank achieved noteworthy 8% growth in its advances to close at LKR 89.7 billion from LKR 83.2 billion in 2022. This growth was achieved while continuing to have one of the lowest industry-wide Stage 3 Impaired financing ratio of 1.5% owing to the Bank's effective risk management framework and timely customer engagement, driven by its unique people friendly and development focused approach. By understanding the unique circumstances of SMEs, the Bank continued to provide assistance and advisory services to help improve their liquidity position and strengthen their business continuity, financial resilience and revival efforts in difficult times.

Moreover, testifying the strong customer confidence and the growing demand for the Bank's value proposition, deposit mobilisation activities gained strong traction, amidst tight market liquidity

conditions and stiff competition for funds in the market. As a result the Bank's deposit portfolio grew significantly by 18% to LKR 132.9 billion while maintaining an industry high CASA ratio of 40%.

Towards fuelling its ambitious growth plans, the Bank successfully secured LKR 6 billion through its Rights Issue carried out in Q4, which garnered diverse participation from existing shareholders and new investors, including prominent foreign, corporate, and high-net-worth individuals. The Rights issue enabled the Bank to achieve its objectives of meeting the enhanced minimum capital requirement in line with latest regulatory directions to the banking industry.

Crossing the LKR 150 billion landmark, the Bank's Total Assets grew by LKR 17.8 billion or 13% YoY from LKR 141.7 billion in 2022 to close at a solid LKR 159.5 billion as at end-December 2023.

Given the strong financial performance for 2023, Amana Bank's ROE grew to 7.7% from 5.6% recorded in 2022, despite the capital infusion of over LKR 6 Bn in the latter part of the year. As at 31 December 2023, Amana Bank's Common Equity Tier 1 and Total Capital ratios stood at 16.5% and 19.3% respectively, well above the regulatory minimum requirement of 7% and 12.5% respectively.

Sharing his views on the Bank's performance, Chairman Asgi Akbarally said "Proving its resilience and ability to power through mounting challenges, I am humbled to note Amana Bank closed the financial year 2023 achieving a number of historical milestones including the best ever financial results in the Bank's history. These achievements are a testament to the growing acceptance of our people-friendly and development focused banking approach as well as the enduring trust and confidence placed on us by our stakeholders. I would like to express my immense gratitude to my fellow Directors, management and staff as well as to our customers and shareholders. Amana Bank will approach the future from a position of strength as we continue to give leadership to this growing industry."

Commenting on the Bank's performance Managing Director/CEO Mohamed Azmeer said "2023 was a historic year for Amana Bank, characterized by exceptional performance and remarkable achievements while strengthening the Bank's foundation for our ambitious growth plans with fresh capital infusion that underscored the Bank's resilience and stakeholder confidence amidst a challenging economic environment. This performance was a result of the Bank's continued support towards SME, Corporate and Retail sectors facilitating their needs while adding value to the economy at this crucial juncture where the country's economic revival is taking shape. I am thankful to our Chairman and the Board of Directors, management, staff, shareholders, customers and valued partners. With the enhanced capital in place, Amana Bank is strategically positioned on a robust launch pad for growth, poised for new horizons, through investments in our core business expansion, digital footprint, and sustainable banking initiatives."

Amāna Bank PLC is a stand-alone institution licensed by the Central Bank of Sri Lanka and listed on the Colombo Stock Exchange with Jeddah-based IsDB Group being the principal shareholder of the Bank. The IsDB Group is a 'AAA' rated multilateral development financial institution with a membership of 57 countries. Testifying its position as the leading practitioner of the non-interest based banking model, Amāna Bank continued to be recognized amongst the Top 50 Strongest Islamic Bank's in the World by The Asian Banker, marking a notable rise to 37th position in 2023.

Amāna Bank does not have any subsidiaries, associates, or affiliated institutions apart from its engagement with OrphanCare as its Founding Sponsor.

STATEMENT OF PROFIT OR LOSS

FOR THE PERIOD ENDED

	FOR THE YEAR ENDED 31 DECEMBER			FOR THE QUARTER ENDED 31 DECEMBER		
	2023 (Rs. '000)	2022 (Rs. '000)	Change %	2023 (Rs '000)	2022 (Rs '000)	Change %
Financing Income	17,238,373	12,113,113	42%	4,264,078	4,021,267	6%
Financing Expenses	(10,743,450)	(7,344,488)	46%	(2,619,533)	(2,356,553)	11%
Net Financing Income	6,494,923	4,768,625	36%	1,644,545	1,664,714	(1%)
Net Fee and Commission Income	931,311	750,312	24%	229,859	234,083	(2%)
Net Trading Income	1,765,214	864,699	104%	598,235	227,553	163%
Net Gains / (Losses) from Financial Investments at Fair Value through Profit or Loss	15,113	(21,646)	170%	(1,724)	(13,712)	(87%)
Net Gains / (Losses) from Derecognition of Financial Assets	983	(1,453)	168%	864	(1,196)	172%
Net Other Operating Income	2,983	5,158	42%	864	2,157	(60%)
Total Operating Income	9,210,527	6,365,695	45%	2,472,643	2,113,599	17%
Impairment Charges	(2,120,743)	(1,638,483)	29%	(671,994)	(879,920)	(24%)
Net Operating Income	7,089,784	4,727,212	50%	1,800,649	1,233,679	46%
Personnel Expenses	1,975,990	1,488,371	33%	625,018	392,403	59%
Depreciation and Amortisation of Property, Plant, Equipment and Right-of-Use Assets	307,603	325,934	(6%)	107,426	99,187	8%
Other Operating Expenses	1,587,479	1,176,643	35%	392,379	329,852	19%
Total Operating Expenses	3,871,072	2,990,948	29%	1,124,823	821,442	37%
Operating Profit Before VAT on Financial Services & Social Security Contribution Levy	3,218,712	1,736,264	85%	675,826	412,237	64%
VAT on Financial Services & Social Security Contribution Levy	(906,520)	(528,989)	71%	(40,458)	(144,950)	(72%)
Profit Before Tax	2,312,192	1,207,275	92%	635,368	267,287	138%
Tax Expense	(925,415)	(419,098)	121%	(140,050)	(79,603)	76%
Profit for the Period	1,386,777	788,177	76%	495,318	187,684	164%
Earnings Per Share - Basic (in Rs.)	0.43	0.28	54%	0.15	0.07	114%
- Diluted (in Rs.)	0.42	0.28	50%	0.15	0.07	114%

STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED

	FOR THE YEAR ENDED 31 DECEMBER			FOR THE QUARTER ENDED 31 DECEMBER		
	2023 (Rs. '000)	2022 (Rs. '000)	Change %	2023 (Rs '000)	2022 (Rs '000)	Change %
Profit for the Period	1,386,777	788,177	76%	495,318	187,684	164%
Other Comprehensive Income/(Loss)						
Other Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:						
Financial Assets - Fair Value through Other Comprehensive Income:						
Net Gain / (Loss) on Financial Assets - Fair Value through Other Comprehensive Income	(13,505)	(13,505)	-	(10,804)	2,701	(500%)
	(13,505)	(13,505)	-	(10,804)	2,701	(500%)
Retirement Benefit Liability	(5,004)	22,399	(122%)	(5,004)	22,399	(122%)
Deferred Tax Effect on Retirement Benefit Liability	1,501	(6,720)	122%	1,501	(6,720)	122%
Revaluation Surplus on Property, Plant and Equipment	-	-	-	-	-	-
Deferred Tax Effect on Revaluation Surplus (net)	-	(67,325)	(100%)	-	(67,325)	(100%)
	(3,503)	(51,646)	(93%)	(3,503)	(51,646)	(93%)
Net Comprehensive Income not to be Reclassified to Profit or Loss in Subsequent Periods:	(17,008)	(65,151)	(74%)	(14,306)	(48,945)	(71%)
Other Comprehensive Income / (Loss) for the Period Net of Tax	(17,008)	(65,151)	(74%)	(14,306)	(48,945)	(71%)
Total Comprehensive Income for the Period	1,369,769	723,026	89%	481,012	138,739	247%

STATEMENT OF FINANCIAL POSITION

AS AT

	31 DEC 2023 (AUDITED) (Rs. '000)	31 DEC 2022 (AUDITED) (Rs. '000)	Change %
Assets			
Cash and Cash Equivalents	11,100,863	22,603,294	(51%)
Balances with Central Bank of Sri Lanka	9,446,863	5,085,679	86%
Placements with Banks	42,474,570	24,570,292	73%
Placements with Licensed Finance Companies	81	77	5%
Derivative Financial Assets	194,267	70,733	175%
Financial Assets Designated at Fair Value through Profit or Loss	8,994	59,561	(85%)
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	89,658,060	83,185,917	8%
Financial Assets Measured at Fair Value through Other Comprehensive Income	319,000	332,505	(4%)
Other Assets - Financial	2,006,909	2,323,566	(14%)
Property, Plant, Equipment And Right-of-Use Assets	2,775,396	2,466,761	13%
Intangible Assets	379,309	319,253	19%
Other Assets - Non Financial	303,034	262,467	15%
Deferred Tax Assets	784,430	407,786	92%
Total Assets	159,451,776	141,687,891	13%
Liabilities			
Due to Banks	321,167	11,856,723	(97%)
Derivative Financial Liabilities	948	20,880	(95%)
Financial Liabilities at Amortised Cost - Due to Depositors	132,937,607	112,546,017	18%
Other Liabilities - Financial	3,391,138	2,041,967	66%
Current Tax Liabilities	722,144	645,606	12%
Dividend Payable	6,326	6,351	(0%)
Retirement Benefit Liability	130,416	109,412	19%
Other Liabilities - Non Financial	245,446	99,580	146%
Total Liabilities	137,755,192	127,326,536	8%
Shareholders' Funds			
Stated Capital	17,633,461	11,348,821	55%
ESOP Reserve	50,979	-	-
Statutory Reserve Fund	266,441	197,102	35%
Revaluation Reserve	1,007,191	1,008,277	(0%)
Fair Value Reserve	71,888	85,393	(16%)
Retained Earnings	2,666,624	1,721,762	55%
Total Equity	21,696,584	14,361,355	51%
Total Liabilities and Shareholders' Funds	159,451,776	141,687,891	13%
Net Asset Value per Ordinary Share	3.94	5.16	
Commitments and Contingencies	40,739,750	34,094,313	
Memorandum Information			
Number of Employees	886	797	
Number of Branches	33	33	

CERTIFICATION:

I certify that these Financial Statements comply with the requirements of the Companies Act No. 07 of 2007.

Sgd

M. Ali Wahid

Chief Financial Officer
17 February 2024

We, the undersigned, being Chairman and Managing Director / Chief Executive Officer of Amana Bank PLC certify jointly that:-

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka and Rule 7.4 of Colombo Stock Exchange.

(b) the information contained in these statements have been extracted from the audited Financial Statements of the Bank.

Sgd

Ali Asghar Akbarally

Chairman
17 February 2024

Sgd

Mohamed Azmeer

Managing Director / CEO
17 February 2024

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	ESOP Reserve	Statutory Reserve Fund	Revaluation Reserve	Fair Value Reserve	Retained Earnings	Total
As at 31 December 2021 (Audited)	11,079,706	-	157,693	1,076,688	98,898	1,225,549	13,638,534
Profit for the Year	-	-	-	-	-	788,177	788,177
Other Comprehensive Income	-	-	-	(67,325)	(13,505)	15,679	(65,151)
Scrip Dividend - 2022	269,115	-	-	-	-	(269,115)	-
Share Issue Expenses	-	-	-	-	-	(205)	(205)
Transfers to Statutory Reserve Fund	-	-	39,409	-	-	(39,409)	-
Transferred to Retained Earnings	-	-	-	(1,086)	-	1,086	-
As at 31 December 2022 (Audited)	11,348,821	-	197,102	1,008,277	85,393	1,721,762	14,361,355
Profit for the Year	-	-	-	-	-	1,386,777	1,386,777
Other Comprehensive Income	-	-	-	-	(13,505)	(3,503)	(17,008)
Scrip Dividend - 2023	283,963	-	-	-	-	(283,963)	-
WHT on Scrip Dividend	-	-	-	-	-	(50,111)	(50,111)
Share Issue Expenses	-	-	-	-	-	(36,085)	(36,085)
Rights Issue	6,000,677	-	-	-	-	-	6,000,677
Share-Based Payment Expense	-	50,979	-	-	-	-	50,979
Transfers to Statutory Reserve Fund	-	-	69,339	-	-	(69,339)	-
Transferred to Retained Earnings	-	-	-	(1,086)	-	1,086	-
As at 31 December 2023 (Audited)	17,633,461	50,979	266,441	1,007,191	71,888	2,666,624	21,696,584

STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED

	FOR THE YEAR ENDED 31 DECEMBER	
	2023 (Rs. '000)	2022 (Rs. '000)
	(AUDITED)	(AUDITED)
Cash Flows from Operating Activities		
Financing Income Received	17,935,909	11,693,445
Fees and Commission Received	932,294	748,860
Financing Expenses Paid	(9,910,639)	(6,463,893)
Foreign Exchange Income	1,765,214	862,745
Gratuity Payments Made	(18,785)	(28,185)
Payments to Employees and Suppliers	(4,384,224)	(3,165,089)
Operating Profit/(Loss) before Changes in Operating Assets and Liabilities	6,319,769	3,647,883
(Increase) / Decrease in Operating Assets		
Financing and Receivable to Other Customers	(8,583,665)	(8,923,852)
Other Assets	(479,965)	(1,245,503)
Balance with Central Bank of Sri Lanka	(4,361,184)	(285,652)
Increase / (Decrease) in Operating Liabilities		
Due to Other Customers	19,621,914	15,547,636
Due to Banks	(11,535,556)	2,846,737
Other Liabilities	1,501,531	(143,860)
Net Cash Flow from Operating Activities before Income Tax	2,482,844	11,443,389
Income Tax Paid	(1,136,265)	(444,759)
Net Cash From / (Used In) Operating Activities	1,346,579	10,998,630
Cash Flows From/(Used In) Investing Activities		
Acquisition of Property, Plant & Equipment	(101,651)	(65,868)
Proceeds from Sale of Property, Plant and Equipment	48	316
Acquisition of Intangible Assets	(118,193)	(137,746)
Investments in Placements with Banks	(4)	3,149,994
Investments in Placements with Licensed Finance Companies	(18,610,006)	(4)
Financial Assets Recognised through Profit or Loss - Measured at Fair Value	2,935	(16,573)
Dividend Received from Financial Assets	65,680	4,844
Net Cash From / (Used In) Investing Activities	(18,761,191)	2,934,963
Cash Flows From / (Used In) Financing Activities		
Rights Issue of Shares	6,000,677	-
Share Issue Expenses and WHT on Scrip Dividend	(86,196)	(205)
Dividend Paid	(26)	(107)
Net Cash From / (Used In) Financing Activities	5,914,455	(312)
Net Increase / (Decrease) in Cash and Cash Equivalents	(11,500,157)	13,933,281
Cash and Cash Equivalents at the Beginning of the Year	22,607,924	8,674,643
Cash and Cash Equivalents at the End of the Period - Gross of Allowance for Impairment	11,107,767	22,607,924

CASH AND CASH EQUIVALENTS

	2023 (Rs. '000)	2022 (Rs. '000)
Cash in Hand	5,513,439	5,621,229
Balances with Banks	5,594,328	16,986,695
	11,107,767	22,607,924
Less: Allowance for Impairment	(6,904)	(4,629)
Total	11,100,863	22,603,295

NOTES TO THE FINANCIAL STATEMENTS

01. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

Financial instruments are measured on an ongoing basis either at fair value or at amortised cost. The summary of significant accounting policies stated in the Annual Financial Statements describes how the classes of financial instruments are measured, and how income and expenses, including fair value gains and losses, are recognised. The following table analyses the carrying amounts of the financial instruments by category as defined in SLFRS 9 and by headings of the Statement of Financial Position.

RUPEES IN THOUSANDS				
	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2023 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	11,100,863	-	11,100,863
Balances with Central Bank of Sri Lanka	-	9,446,863	-	9,446,863
Placements with Banks	-	42,474,570	-	42,474,570
Placements with Licensed Finance Companies	-	81	-	81
Derivative Financial Assets	194,267	-	-	194,267
Financial Assets Designated at Fair Value through Profit or Loss	8,994	-	-	8,994
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	89,658,060	-	89,658,060
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	319,000	319,000
Other Assets - Financial	-	2,006,909	-	2,006,909
Total Financial Assets	203,261	154,687,346	319,000	155,209,607
Financial Liabilities				
Due to Banks	-	321,167	-	321,167
Derivative Financial Liabilities	948	-	-	948
Financial Liabilities at Amortised Cost - Due to Depositors	-	132,937,607	-	132,937,607
Other Liabilities - Financial	-	3,391,138	-	3,391,138
Total Financial Liabilities	948	136,649,912	-	136,650,860

	FAIR VALUE THROUGH PROFIT OR LOSS	AMORTIZED COST	FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	TOTAL AS AT 31.12.2022 (AUDITED)
Financial Assets				
Cash and Cash Equivalents	-	22,603,294	-	22,603,294
Balances with Central Bank of Sri Lanka	-	5,085,679	-	5,085,679
Placements with Banks	-	24,570,292	-	24,570,292
Placements with Licensed Finance Companies	-	77	-	77
Derivative Financial Assets	70,733	-	-	70,733
Financial Assets Designated at Fair Value through Profit or Loss	59,561	-	-	59,561
Financial Assets at Amortised Cost - Financing and Receivables to Other Customers	-	83,185,917	-	83,185,917
Financial Assets measured at Fair Value through Other Comprehensive Income	-	-	332,505	332,505
Other Assets - Financial	-	2,323,566	-	2,323,566
Total Financial Assets	130,294	137,768,825	332,505	138,231,624
Financial Liabilities				
Due to Banks	-	11,856,723	-	11,856,723
Derivative Financial Liabilities	20,880	-	-	20,880
Financial Liabilities at Amortised Cost - Due to Depositors	-	112,546,017	-	112,546,017
Other Liabilities - Financial	-	2,041,967	-	2,041,967
Total Financial Liabilities	20,880	126,444,707	-	126,465,587

02. FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

RUPEES IN THOUSANDS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS	31.12.2023 (AUDITED)	31.12.2022 (AUDITED)
Gross Financing and Receivables to Other Customers	95,587,204	87,105,788
Accumulated Impairment		
Stage 1	(1,131,910)	(980,928)
Stage 2	(2,675,414)	(1,711,996)
Stage 3	(2,121,820)	(1,226,947)
Net Financing and Receivables to Other Customers	89,658,060	83,185,917

NOTES TO THE FINANCIAL STATEMENTS

ANALYSIS OF FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - (Contd...)

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

By Product - Domestic Currency	RUPEES IN THOUSANDS	
	31.12.2023 (AUDITED)	31.12.2022 (AUDITED)
Overdraft	8,881,574	6,438,293
Trade Finance	637,338	798,553
Lease Receivables	5,551,287	4,189,836
Staff Facilities	715,175	826,907
Term Financing	62,347,061	56,982,012
Gold Facilities	11,744,010	12,741,591
Others	594,422	538,730
Sub Total	90,470,867	82,515,922
By Product - Foreign Currency		
Overdraft	32,586	36,984
Term Financing	3,944,462	4,502,467
Trade Finance	1,009,372	45,592
Others	129,917	4,823
Sub Total	5,116,337	4,589,866
Total	95,587,204	87,105,788

03. IMPAIRMENT ALLOWANCE FOR FINANCING AND RECEIVABLES TO OTHER CUSTOMERS

A reconciliation of the allowance for impairment losses for Financing and Receivables to Other Customers, under SLFRS 9 is as follows:

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT (AUDITED)
ECL allowance as at 1 January 2023 under SLFRS 9	980,928	1,711,996	1,226,947	3,919,871
Charge/(Write Back) for the year	150,982	963,418	997,123	2,111,523
Amounts written off	-	-	(102,250)	(102,250)
As at 31 December 2023	1,131,910	2,675,414	2,121,820	5,929,144

	RUPEES IN THOUSANDS			
	STAGE 1	STAGE 2	STAGE 3	TOTAL IMPAIRMENT (AUDITED)
ECL allowance as at 1 January 2022 under SLFRS 9	876,662	602,428	890,493	2,369,583
Charge/(Write Back) for the year	104,266	1,109,568	340,499	1,554,333
Amounts written off	-	-	(4,045)	(4,045)
As at 31 December 2022	980,928	1,711,996	1,226,947	3,919,871

NOTES TO THE FINANCIAL STATEMENTS

04. COMMITMENTS AND CONTINGENCIES

ANALYSIS OF COMMITMENTS AND CONTINGENCIES	RUPEES IN THOUSANDS	
	31.12.2023 (AUDITED)	31.12.2022 (AUDITED)
Gross Commitments and Contingencies	40,827,874	34,188,931
Allowance for Impairment		
Stage 1	(69,049)	(61,469)
Stage 2	(12,781)	(25,480)
Stage 3	(6,294)	(7,669)
Net Financing and Receivables to Other Customers	40,739,750	34,094,313

FINANCING AND RECEIVABLES TO OTHER CUSTOMERS - BY PRODUCT

	RUPEES IN THOUSANDS	
	31.12.2023 (AUDITED)	31.12.2022 (AUDITED)
Commitments for Unutilised Facilities	13,852,696	8,478,680
Letters of Credit	1,684,792	495,549
Guarantees, Bonds	4,718,325	4,888,624
Outward Clearing Cheques	779,852	902,611
Acceptances	4,383,996	3,410,237
Bills for Collection and Others	2,768,973	2,177,202
Promissory Forward Sales	11,667,240	4,693,278
Promissory Forward Purchases	972,000	9,142,750
Total	40,827,874	34,188,931

05. DUE TO OTHER CUSTOMERS - BY PRODUCT

ANALYSIS OF DEPOSITS	RUPEES IN THOUSANDS	
	31.12.2023 (AUDITED)	31.12.2022 (AUDITED)
By Product - Domestic Currency		
Demand Deposits	7,919,680	6,560,096
Savings Deposits	39,136,072	33,531,546
Time Deposits	58,708,725	45,487,820
Sub Total	105,764,477	85,579,462
By Product - Foreign Currency		
Demand Deposits	1,137,636	1,723,386
Savings Deposits	4,609,742	6,062,621
Time Deposits	21,425,752	19,180,548
Sub Total	27,173,130	26,966,555
Total	132,937,607	112,546,017

NOTES TO THE FINANCIAL STATEMENTS

06. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, as described below.

- Level 1 Quoted price (unadjusted) in active markets for the identical assets or liabilities. This level includes listed equity securities and / or debt instruments.
- Level 2 Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 Inputs for asset or liability that are not based on observable market data (unobservable inputs). This level includes equity and / or debt instruments with significant unobservable components.

	LEVEL 1	LEVEL 2	LEVEL 3	RUPEES IN THOUSANDS TOTAL (AUDITED)
As at 31 December 2023				
Financial Assets				
Derivative Financial Assets	-	194,267	-	194,267
Financial Assets Designated at Fair Value through Profit or Loss	8,994	-	-	8,994
Income	316,007	-	2,993	319,000
	325,001	194,267	2,993	522,261
Financial Liabilities				
Derivative Financial Liabilities	-	948	-	948
	-	948	-	948

	LEVEL 1	LEVEL 2	LEVEL 3	RUPEES IN THOUSANDS TOTAL (AUDITED)
As at 31 December 2022				
Financial Assets				
Derivative Financial Assets	-	70,733	-	70,733
Financial Assets Designated at Fair Value through Profit or Loss	59,561	-	-	59,561
Income	329,512	-	2,993	332,505
	389,073	70,733	2,993	462,799
Financial Liabilities				
Derivative Financial Liabilities	-	20,880	-	783,200
	-	20,880	-	783,200

Derivative Financial Assets and Liabilities:

Derivative products are promissory forward foreign exchange transactions, valued using a valuation technique with market-observable inputs. The most frequently applied valuation techniques include promissory forward foreign exchange spot and Net Present Value.

Financial Assets Recognised through Profit or Loss - Measured at Fair Value, Financial Assets Measured at Fair Value through Other Comprehensive Income

The estimated fair values are based on quoted and observable market prices.

Financial Instruments not carried at Fair Value

Set out below is a comparison, by class, of the carrying amounts and fair values of the Bank's financial instruments that are not carried at fair value in the Financial Statements. This table does not include the fair values of Non-Financial Assets and Non-Financial Liabilities.

	31.12.2023		31.12.2022	
	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)	CARRYING VALUE (AUDITED)	FAIR VALUE (AUDITED)
Financial Assets				
Cash and Cash Equivalents	11,100,863	11,100,863	22,603,294	22,603,294
Balance with Central Bank of Sri Lanka	9,446,863	9,446,863	5,085,679	5,085,679
Placements with Banks	42,474,570	42,490,688	24,570,292	24,573,057
Placements with Other Companies	81	81	77	77
Customers	89,658,060	87,894,133	83,185,917	79,698,416
Other Assets - Financial	2,006,909	2,006,909	2,323,566	2,323,566
	154,687,346	152,939,537	137,768,825	134,284,089
Financial Liabilities				
Due to Banks	321,167	321,167	11,856,723	11,856,723
Financial Liabilities at Amortised Cost - Due to Depositors	132,937,607	132,937,607	112,546,017	112,546,017
Other Liabilities - Financial	3,391,138	3,391,138	2,041,967	2,041,967
	136,649,912	136,649,912	126,444,707	126,444,707

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the Financial Statements:

Balances with Banks, Balances with Licensed Finance Companies, Other Financial Assets and Other Financial Liabilities

For the above, the carrying value is a reasonable estimate of fair values.

Financial Assets at Amortised Cost - Financing and Receivables to Other Customers

The fair value of the above are estimated by discounting the estimated future cash flows using the prevailing market rates for financing as of the reporting date with similar credit risks and maturities (Level 3).

Financial Liabilities at Amortised Cost - Due to Depositors

The fair values of the above are deemed to approximate their carrying amounts as rate of returns are determined at the end of their holding periods based on the profit generated from the relevant investments.

NOTES TO THE FINANCIAL STATEMENTS

07. SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

	AS AT 31.12.2023 (AUDITED)	AS AT 31.12.2022 (AUDITED)
Regulatory Capital (Rs. '000)		
Common Equity Tier 1 (before applicable adjustments)	20,609,660	13,267,685
Common Equity Tier 1 (after applicable adjustments)	19,324,373	12,336,541
Tier 1 Capital	19,324,373	12,336,541
Total Capital	22,600,754	14,960,985
Regulatory Capital Ratios (%)		
Common Equity Tier 1 Capital Ratio (Minimum Requirement 7.0%)	16.5%	13.0%
Tier I Capital Ratio (Minimum Requirement 8.5%)	16.5%	13.0%
Total Capital Ratio (Minimum Requirement 12.5%)	19.3%	15.8%
Leverage Ratio % (Minimum Requirement 3%)	11.6%	7.4%
Assets Quality (Quality of Financing and Advance Portfolio)		
Impaired Financing and Advances (Stage 3) Ratio (%)	1.5%	2.1%
Impairment (Stage 3) to Stage 3 Financing and Advances Ratio (%)	56.5%	37.9%
Profitability		
Financing Margin (%)	4.3%	3.6%
Return on Assets (Before Tax)	1.5%	0.9%
Return on Equity	7.7%	5.6%
Regulatory Liquidity		
Statutory Liquid Assets		
- Domestic Banking Unit (Rs. in Millions)	51,296	35,744
- Foreign Currency Banking Unit (USD '000)	1,760	1,581
Statutory Liquid Assets Ratio % (Minimum Requirement 20%)		
- Consolidated	38.6%	28.3%
Total Stock of High Quality Liquid Assets (Rs. in Millions)	13,936	8,256
Liquidity Coverage Ratio (%) (Minimum Requirement 100%)		
- Rupee (%)	300.0%	150.3%
- All Currency (%)	234.9%	126.5%
Net Stable Funding Ratio (%) (Minimum Requirement 100%)	187.7%	187.8%

NOTES TO THE FINANCIAL STATEMENTS

08. SEGMENT INFORMATION

The following table presents information on total income, profit, total assets and liabilities regarding the Bank's operating segments.

FOR THE PERIOD ENDED 31 DECEMBER 2023	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL (AUDITED)
Income						
Financing Income	3,944,671	10,581,391	14,526,062	2,712,311	-	17,238,373
Net Fee and Commission Income	329,253	593,206	922,459	8,852	-	931,311
Net Trading Income	-	-	-	1,765,214	-	1,765,214
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	15,113	-	15,113
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	983	-	983
Other Operating Income	-	-	-	2,983	-	2,983
Total Income	4,273,924	11,174,597	15,448,521	4,505,456	-	19,953,977
Less						
Financing Expenses			(10,178,913)	(501,401)	(63,136)	(10,743,450)
Impairment Charges			(2,105,115)	(15,628)	-	(2,120,743)
Operating Expenses			(2,748,461)	(1,122,611)	-	(3,871,072)
Operating Profit Before VAT on FS & SSCL			416,032	2,865,816	(63,136)	3,218,712
VAT on FS & SSCL						(906,520)
Profit Before Tax						2,312,192
Tax Expense						(925,415)
Profit After Tax						1,386,777
Total Assets	23,861,520	65,796,540	89,658,060	53,769,781	16,023,935	159,451,776
Total Liabilities	99,282,724	33,654,883	132,937,607	301,256	4,516,329	137,755,192

FOR THE PERIOD ENDED 31 DECEMBER 2022	CONSUMER BANKING	BUSINESS BANKING	TOTAL BANKING	TREASURY	RUPEES IN THOUSANDS	
					UNALLOCATED / ELIMINATION	TOTAL (AUDITED)
Income						
Financing Income	3,067,518	6,923,688	9,991,206	2,121,907	-	12,113,113
Net Fee and Commission Income	246,862	477,155	724,017	26,295	-	750,312
Net Trading Income	-	-	-	864,699	-	864,699
Net Gains / (Losses) from Financial Investments at Fair Value Through Profit or Loss	-	-	-	(21,646)	-	(21,646)
Net Gains / (Losses) from Derecognition of Financial Assets	-	-	-	(1,453)	-	(1,453)
Other Operating Income	-	-	-	5,158	-	5,158
Total Income	3,314,380	7,400,843	10,715,223	2,994,960	-	13,710,183
Less						
Financing Expenses			(6,095,980)	(1,208,519)	(39,989)	(7,344,488)
Impairment Charges			(1,638,483)	-	-	(1,638,483)
Operating Expenses			(2,113,054)	(877,894)	-	(2,990,948)
Operating Profit Before VAT on FS			867,706	908,547	(39,989)	1,736,264
VAT on FS & SSCL						(528,989)
Profit Before Tax						1,207,275
Tax Expense						(419,098)
Profit After Tax						788,177
Total Assets	26,796,694	56,389,223	83,185,917	47,244,396	11,257,578	141,687,891
Total Liabilities	85,274,795	27,271,222	112,546,017	15,583,483	(802,964)	127,326,536

EXPLANATORY NOTES

- 1. These Interim Financial Statements have been prepared in accordance with LKAS 34 - Interim Financial Reporting and present information required by Listing Rules of Colombo Stock Exchange.
- 2. The interim condensed Financial Statements do not include all the information and disclosure required in the Annual Financial Statements, and should be read in conjunction with Annual Financial Statements as at 31 December 2023.
- 3. The accounting policies adopted in the presentation of the interim condensed Financial Statements are consistent with those followed in the preparation of the Bank's Annual Financial Statements for the year ended 31 December 2023.
- 4. There are no material events that took place after the Statement of Financial Position date which require adjustment to or disclosures in the Financial Statements other than the following:
- 5. Comparative figures have been restated wherever necessary to conform to the current period's presentation.
- 6. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report of 2023.
- 7. Market Price of Ordinary Shares (the Bank listed its ordinary shares on the Colombo Stock Exchange on 29 January 2014) :

	2023 Rs.	2022 Rs.
Last Traded Price as at 31 December	2.30	3.50
Highest Market Price during the quarter ended 31 December	2.40	3.80
Lowest Market Price during the quarter ended 31 December	2.10	2.60

EXPLANATORY NOTES

09. TWENTY LARGEST SHAREHOLDERS AS AT 31 DECEMBER 2023

No	Name of Shareholder	No. of Shares	%
1	IB Growth Fund (Labuan) LLP	1,372,772,458	24.91%
2	Seylan Bank PLC/Senthilverl Holdings (Pvt) Ltd	580,453,472	10.53%
3	Mr. Mohamed Haji Omar	494,322,862	8.97%
4	Mr. Osman Kassim / Mrs. K. Kassim	344,668,966	6.25%
5	Cargills Bank Limited/Senthilverl Holdings (Pvt) Ltd	290,226,736	5.27%
6	Bank Islam Malaysia Berhad	209,499,165	3.80%
7	AB Bank Limited	209,499,164	3.80%
8	Quick Tea (Pvt) Ltd	204,764,592	3.72%
9	Islamic Development Bank	183,392,984	3.33%
10	Akbar Brothers Pvt Ltd A/C No 1	183,024,592	3.32%
11	E.W. Balasuriya & Co. (Pvt) Ltd Acc No 01	130,434,783	2.37%
12	Domon Ltd	115,739,964	2.10%
13	Mr Mohamed Aadil Mohamed Asmath	97,855,104	1.78%
14	P M Mohamedali & Co	87,536,656	1.59%
15	Millennium Capital Investments Pte Ltd	81,381,330	1.48%
16	Mr. Hanif Yusoof	66,478,260	1.21%
17	Mr. Mohamed Adnaan Mohamed Iqbal	65,275,410	1.18%
18	Mr. Shafik Kassim	64,452,364	1.17%
19	Mr. Sattar Kassim	47,244,668	0.86%
20	Mr. Nagi Saleh Mohammed Alfaqih	43,375,913	0.79%
Sub total		4,872,399,443	88.41%
Other Shareholders (Number of Shareholders 9,434)		638,858,018	11.59%
Total		5,511,257,461	100.00%

Percentage of Public Holding as at 31 December 2023	37.67%
Number of Shareholders	9,431
Float adjusted market capitalisation	Rs 4.78 Bn

Bank complies with the minimum public holding requirement under option 4 as specified by rule 7.13.1 (a) of the Listing Rules of Colombo Stock Exchange

10. DIRECTORS' HOLDING IN SHARES AS AT 31 DECEMBER 2023

Name	No. of Shares
Mr. Ali Asghar Akbarally	Nil
Mr. Dilshan Hettiaratchi	Nil
Mr. Aaron Russell-Davison	Nil
Mr. M Ataur Rahman Chowdhury	Nil
Mr. S M Asim Raza	Nil
Mr. Tishan Subasinghe	Nil
Mr. Omar Farook Kassim	Nil
Mr. Mohamed Adamaly	Nil
Mr. Mohamed Azmeer	3,000,000
Mr. Mohammad Hassan	Nil
Mr. K M P B Abdullah	Nil